

I Squared Capital Bets \$1 Billion on AI Inference Data Centers

\$225 million

Transaction value

On May 27, I Squared Capital signed an agreement to acquire ten data centers from Cogen Fiber, a Cogent Communications Holdings subsidiary, for \$225 million in cash. The facilities span 259,000 square feet across nine U.S.

The numbers tell the story

\$225 million

Transaction value

\$1 billion

Key figure

\$60 billion

Key figure

What happened

On May 27, I Squared Capital signed an agreement to acquire ten data centers from Cogen Fiber, a Cogent Communications Holdings subsidiary, for \$225 million in cash. The facilities span 259,000 square feet across nine U.S. markets: Chicago, Atlanta, Phoenix, Los Angeles, Kansas City, Baltimore, Houston, Nashville, and Stockton, California.

The money

I Squared plans to invest up to \$1 billion in building and expanding U.S. data centers designed for artificial intelligence computing. The capital is earmarked for targeted improvements and additional acquisitions.

The people behind it

Each facility sits near internet exchanges and offers multi-carrier connectivity. Co-founder and Managing Partner Gautam Bhandari identified location, power, and connectivity as the three variables determining long-term data center value.

The story

All acquired assets include expansion capacity and support liquid-cooling-enabled configurations, a system that uses liquid to cool computer chips. Bhandari said demand for high-density, low-latency facilities will grow as AI shifts from model training to inference, when systems are used by people and businesses daily.

The money

I Squared oversees \$60 billion in assets across global infrastructure businesses, with a portfolio of at least 90 companies in utilities, energy, environmental infrastructure, transportation, and social infrastructure. The firm employs 300 people across offices in Miami's Brickell Financial District, Abu Dhabi, London, Munich, New Delhi, Sao Paulo, Singapore, Sydney, and Taipei.

The story

AI data centers require enormous amounts of electricity to run and cool the powerful computers that train and operate artificial intelligence systems, making power access and cooling capacity central to their viability.

The money

The \$225 million acquisition price implies roughly \$870 per square foot for assets with expansion potential and liquid cooling readiness. That is below replacement cost for new build-to-suit AI data centers, which can exceed \$1,500 per square foot in primary markets, per CBRE data.

The story

I Squared is betting that inference-phase computing will generate sustained demand for distributed, low-latency facilities. Training workloads concentrate in hyperscale campuses; inference workloads must sit closer to end users to minimize latency.

The money

The nine markets selected are secondary or tertiary data center hubs, not Northern Virginia or Silicon Valley. That suggests I Squared is targeting cost-advantaged locations with available power and fiber connectivity, avoiding the capacity constraints and premium pricing of Tier 1 markets.

The final read

Power availability is the binding constraint for new data center development. Utilities in Northern Virginia, for example, have imposed moratoriums on new connections due to grid capacity limits. I Squared's strategy of acquiring existing facilities with expansion capacity sidesteps that bottleneck.

Why it matters

The deal signals that institutional capital sees AI infrastructure as a long-duration, inflation-hedged asset class.

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